

Performance Management & Promotion Policy

Policy Overview

LALA Company is committed to fostering a culture of continuous feedback, professional growth, and high performance. This policy outlines the framework for performance evaluations, promotion criteria, and performance improvement procedures.

1. Review Cycles & Timeline

Performance evaluations are conducted semi-annually to ensure alignment between individual achievements and organizational goals.

Cycle	Timeline	Focus Area	Key Deliverables
Mid-Year Review	June - July	Alignment & Progress Check	Self-assessment, Check-in conversation, Mid-year adjustments
Annual Review	December - January	Full Year Evaluation & Merit	Final performance rating, Compensation updates, Promotion decisions

2. Performance Rating Scale

Performance is evaluated across both output (what was accomplished) and behaviors (how goals were met, aligned with company values).

- **Rating 5 – Exceptional:** Consistently exceeds expectations across all areas; drives extraordinary impact and serves as a role model across the organization.
- **Rating 4 – Exceeds Expectations:** Frequently exceeds targets; delivers consistently high-quality work and proactively takes on leadership or complex challenges.
- **Rating 3 – Meets Expectations:** Consistently achieves goals and meets core role requirements; reliable and aligned with company standards.
- **Rating 2 – Needs Improvement:** Inconsistently meets role expectations; clear performance or skill gaps identified that require development.
- **Rating 1 – Unsatisfactory:** Consistently fails to meet basic standards and requirements; requires immediate corrective intervention.

3. Promotion Framework

Promotions at LALA Company reflect elevated responsibility, impact, and mastery of capabilities rather than tenure alone.

Eligibility Criteria

- Minimum of 12 months in current role (exceptions require Vice President approval).
- Consistent rating of **4 (Exceeds Expectations)** or **5 (Exceptional)** in recent evaluation cycles.
- Demonstrated performance operating at the target role level for at least 6 months.

Promotion Process

1. **Nomination:** Managers submit a promotion dossier during the Annual Review cycle.
2. **Calibration:** Leadership panels review nominations across departments to ensure fairness and standard calibration.
3. **Approval:** Final approval granted by Executive Leadership and People Operations.

4. Performance Improvement Plan (PIP) Framework

A Performance Improvement Plan (PIP) is designed to support employees receiving a **Rating 1** or **Rating 2** in correcting identified performance gaps within a structured timeframe.

PIP Process

- **Duration:** Typically 30, 60, or 90 calendar days depending on the role complexity and severity of performance gaps.
- **Documentation:** Clear, measurable objectives detailing required standards, milestone check-ins, and resource allocations.
- **Weekly Reviews:** Mandatory weekly 1-on-1 meetings between the employee and manager to review progress against defined goals.

PIP Outcomes

- **Successful Completion:** If standards are met within the specified timeframe, the employee exits the PIP and returns to standard review cycles.
- **Unsuccessful Completion:** Failure to meet agreed expectations by the end of the PIP period will result in reassignment or termination of employment.